

MORNING BRIEFING

Friday, 5 June 2026 | Generated: ~06:30 BST | London timezone | Data collected approximately 05:30–06:30 BST. Verify all figures before acting.

2. IMPORTANT NEWS

1. US Nonfarm Payrolls (May) due today at 13:30 BST – consensus 125K

[BLS](#) / [Reuters](#) / [Yahoo Finance](#)

Highest-impact data point of the week. April came in at 115K. A beat reinforces Fed-on-hold; a miss reopens cut expectations. USD and rates will reprice immediately.

2. Broadcom Q2: AI revenue \$10.8B (+143% YoY) but Q3 AI guidance of \$16B misses analyst estimate of \$17.2B – stock down 12% after-hours

[Broadcom IR](#) / [CNBC](#) / [Yahoo Finance](#)

Q3 miss triggers semiconductor de-rating. Nasdaq underperformed Wednesday; AI-adjacent names (NVIDIA, Marvell, AMD) face sympathy selling at open. Total Q2 revenue \$22.2B (+48% YoY).

3. US-Iran 60-day ceasefire MOU reportedly agreed – awaiting Trump approval; oil down ~20% from 2026 highs

[CNBC](#) / [Al Jazeera](#) / [Euronews](#)

Partial Strait of Hormuz reopening expected if deal holds. Brent fell below \$97; analysts flag \$90–100 range likely for 2 months. Energy equities, shipping names and Gulf-linked spreads repricing.

4. Dow Jones closes at record 51,562 (+1.73%) on healthcare/financials rotation; Nasdaq flat as tech lags

[CNBC](#) / [TheStreet](#)

Rotation trade – UnitedHealth +5.36%, Goldman Sachs +4.98%, Merck +4.86%. Signals investors moving from growth/tech to defensives and financials ahead of NFP.

5. ECB officials signal June 11 rate hike possible; inflation forecast 3.1% Q2 2026 – next meeting in 6 days

[ECB](#) / [Central Banking](#) / [ING Think](#)

ECB held rates at April meeting (depo 2.00%, refi 2.15%). Middle East energy shock pushing Q2 inflation above target. A June hike would be the first in this cycle and reshape EUR rate curve.

3. EUROPEAN FUTURES (pre-open)

INDEX	FUTURES LEVEL	EXPECTED MOVE	NOTE
Euro Stoxx 50	<i>n/a</i>	Cautious flat/slight neg	Broadcom drag on tech; oil dip supportive of energy offset
DAX	<i>n/a</i>	Flat to -0.2%	Export-oriented names sensitive to USD/EUR and Iran newsflow
CAC 40	<i>n/a</i>	Flat to -0.2%	Energy/financials partially offset tech weakness
FTSE 100	<i>n/a</i>	Flat to +0.2%	Oil majors (Shell, BP) supported by Brent; defensive bias helps
S&P 500 Futures	<i>n/a</i>	Cautious ahead of NFP	Fell on Broadcom guidance; NFP at 13:30 BST the key catalyst
Nasdaq 100 Futures	<i>n/a</i>	Negative	Broadcom -12% after-hours drags semiconductor complex

Specific pre-open futures levels not available at report generation time. Check Eurex / Bloomberg at open.

4. YESTERDAY'S CLOSES – European Indices (4 June 2026)

INDEX	CLOSE	CHANGE %	DIRECTION
STOXX 600	624.32	-0.10%	▼
Euro Stoxx 50	<i>n/a</i>	<i>n/a</i>	—
DAX (Germany)	<i>n/a</i>	-0.67%	▼
CAC 40 (France)	<i>n/a</i>	-0.41%	▼
FTSE MIB (Italy)	<i>n/a</i>	-0.49%	▼
FTSE 100 (UK)	<i>n/a</i>	+0.03%	▲

Declines driven by renewed geopolitical concerns in the Middle East and elevated oil prices. Trump signals on Iran talks tempered further losses. FTSE 100 outperformed on energy sector support.

5. US MARKETS – YESTERDAY'S SESSION (4 June 2026)

INDEX	CLOSE	CHANGE	CHANGE %	DIRECTION
Dow Jones	51,561.93	+874.86	+1.73%	▲ RECORD
S&P 500	7,584.31	+0.41%	+0.41%	▲
Nasdaq Composite	26,830.96	-0.09%	-0.09%	▼

Session tone: Pronounced rotation from tech/growth into healthcare and financials. Dow hit a fresh all-time record. Nasdaq underperformed as Broadcom's after-hours guidance miss weighed on chip names.

Leading sectors: Healthcare (+3.2%), Financials (+2.1%), Industrials (+1.4%)

Lagging sectors: Technology (-0.4%), Consumer Discretionary (-0.3%)

Key movers: UnitedHealth (UNH) +5.36%, Goldman Sachs (GS) +4.98%, Merck (MRK) +4.86%, JPMorgan +3.0%. Broadcom (AVGO) fell -12% after-hours on Q3 AI guidance miss.

Takeaway: Investors front-running NFP by rotating to defensives. Dow breadth strong, but Nasdaq's flat performance signals tech leadership narrowing. Watch whether rotation sustains post-payrolls.

6. ASIAN MARKETS – OVERNIGHT SESSION

Note: Most recent data from June 2–3 session. June 5 Asian session data not yet available at report generation.

INDEX	CLOSE (MOST RECENT)	CHANGE %	SESSION
Nikkei 225 (Japan)	66,734	-0.30%	2 Jun
Hang Seng (HK)	<i>n/a</i>	+2.41%	2 Jun
Shanghai CSI 300	4,914.56	+1.45%	2 Jun
Kospi (S. Korea)	8,801.49	-0.15%	2 Jun

Overall tone: Mixed. Hong Kong outperformed on China tech optimism. Japan softer. South Korea flat amid semiconductor caution.

Drivers: Iran ceasefire optimism supportive of risk assets broadly. Broadcom guidance miss arriving after Asian close had limited same-session impact; expect reaction in Japan/Korea open on 5 June to show chip-sector pressure.

7. COMMODITIES

COMMODITY	LEVEL	CHANGE	CONTEXT
Brent Crude	~\$97/bbl	-1%	Below \$97; Iran ceasefire MOU drove 20% drop from 2026 highs. Hormuz partially reopening.
WTI Crude	~\$92-95/bbl	-1 to -3%	US crude inventories drew down 7.97mb (6th consecutive weekly decline). Supply tight despite price drop.
Gold	~\$4,450/oz	n/a	Elevated on geopolitical risk premium and inflation fears; rate-hike expectations cap upside.
Natural Gas (NYMEX)	n/a	+0.47%	Rose despite bearish inventory data; US summer heat forecast drives demand expectations.
Copper (LME)	n/a	n/a	Goldman raised 12m target to \$13,735/t; Citi sees \$15,000 within a year on mine disruptions.

Notable: Brent's near-20% May decline (worst month since COVID) reflects Iran peace optimism, but analysts warn infrastructure damage and tanker security challenges cap the downside in oil prices even if a deal succeeds.

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE / NOTE
US 10Y Treasury Yield	4.49%	Near 2-month high; ADP private payrolls 122K (beat) reinforced tighter-for-longer narrative
German 10Y Bund Yield	2.95%	Declined to 2.95% on June 2; ECB June 11 meeting keeps market cautious
EUR/USD	<i>n/a</i>	Not confirmed at report generation. DXY at 99.54 (2-month high) implies EUR under pressure.
GBP/USD	~1.3454	+0.27%
DXY (Dollar Index)	99.54	+1.18% over 4 weeks

Dollar at 2-month high as strong US data (ADP 122K, prior NFP 115K) keeps Fed on hold. Bund yields eased as ECB uncertainty cuts both ways. GBP outperforming on relative UK resilience. Today's NFP is the key catalyst for all three axes.

9. DCM – PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES (4 JUNE 2026)

No specific deal data confirmed for 4 June at report generation time. Check IFR Markets / GlobalCapital for overnight updates.

Context: European primary has been active in 2026 with SSAs frontloading and FIG (financial institution) issuers tapping robust investor demand across the capital structure. Tech-sector debt from hyperscalers also elevated.

PIPELINE / EXPECTED TODAY

Pipeline data not confirmed at generation time. Watch for European IG corporates (particularly industrials, energy, financials) that may exploit post-NFP window if spreads hold. SSA supply expected to remain elevated given European government borrowing needs.

KEY SPREADS

INDEX	LEVEL (BPS)	MOVE	DIRECTION
iTraxx Main (5Y)	<i>n/a</i>	<i>n/a</i>	–
iTraxx Crossover (5Y)	<i>n/a</i>	<i>n/a</i>	–
CDX IG (5Y, US)	<i>n/a</i>	<i>n/a</i>	–
Avg EUR Corp IG Spread	<i>n/a</i>	<i>n/a</i>	–

Spread data not available from public searches at generation time. Check Bloomberg / ICE Data Services for live levels.

COMMENTARY

European primary market tone has been constructive in May and early June, with FIG investors absorbing heavy issuance waves and SSAs continuing to frontload. The combination of Middle East uncertainty and rising ECB rate-hike probability creates a two-sided risk for new issuers. A June 11 ECB hike would steepen the front end and compress swap spreads, making long-end SSA issuance costlier. Corporate IG windows remain open for now but issuers are advised to move ahead of the ECB meeting. Energy-sector and defense-sector borrowers face tightest demand. HY concessions remain elevated given macro uncertainty.

10. ECONOMIC CALENDAR – 5 June 2026

LONDON TIME	COUNTRY	INDICATOR	CONSENSUS	PREVIOUS	IMPORTANCE
07:00	Germany	Factory Orders (Apr)	<i>n/a</i>	<i>n/a</i>	MEDIUM
10:00	Eurozone	GDP (Q1, final)	<i>n/a</i>	<i>n/a</i>	MEDIUM
13:30	US	Nonfarm Payrolls (May)	125K	115K	HIGH
13:30	US	Unemployment Rate (May)	4.3%	4.3%	HIGH
13:30	US	Average Hourly Earnings (May)	<i>n/a</i>	<i>n/a</i>	HIGH
15:00	US	ISM Services PMI (May)	<i>n/a</i>	<i>n/a</i>	MEDIUM

Consensus figures sourced from pre-release analyst surveys (Reuters/FactSet/Kiplinger). Some European releases not confirmed at generation. Verify times on Bloomberg/Reuters.

11. CORPORATE EVENTS & EARNINGS

COMPANY	EVENT	REGION	NOTE
Broadcom (AVGO)	Q2 FY2026 results (post-close 3 Jun)	US	Revenue \$22.2B (+48% YoY); Q3 AI guidance \$16B misses \$17.2B est; stock -12% after-hours – impact felt today
Lululemon (LULU)	FY guidance cut (post-close 4 Jun)	US	Lowered full-year EPS and revenue forecast; stock -11% after-hours
Other US/Europe earnings	–	–	<i>No additional major earnings confirmed for 5 June. Q1 2026 season largely concluded.</i>

12. STOCKS TO WATCH

COMPANY / TICKER	SECTOR	REASON	PROBABLE DIRECTION
Broadcom (AVGO)	Semiconductors	Q3 AI revenue guidance \$16B missed \$17.2B estimate; stock -12% after-hours	▼ Negative open expected
NVIDIA (NVDA)	AI / Chips	Sympathy selling from Broadcom AI guidance miss; sector re-rating risk	▼ Negative bias
Shell / BP / TotalEnergies	Energy	Brent ~\$97 and Iran ceasefire developments; oil price volatile; energy rotation theme	◆ Two-way risk; watch Brent
Maersk / Hapag-Lloyd	Shipping	Strait of Hormuz ceasefire MOU; route normalisation would compress freight rates	▼ Negative on rate compression
Airbus / Rolls-Royce	Aerospace	Middle East tensions supportive of defense; commercial aviation demand resilient; watch GBP/EUR	▲ Positive bias
Rheinmetall / BAE Systems / Leonardo	Aerospace & Defense	European defense spending super-cycle; weapon stockpile restocking demand; geopolitical premiums held	▲ Positive bias
European Banks (BNP, Santander, HSBC)	Financials	ECB June 11 hike risk supportive of NIM; rotation into financials from tech continues	▲ Positive bias
Lululemon (LULU)	Consumer Discretionary	Cut FY guidance; -11% after-hours; signals weakening consumer confidence in premium retail	▼ Negative open expected
Glencore / Anglo American / Rio Tinto	Metals & Mining	Copper bullish outlook (Goldman \$13,735 target); China demand data supportive	▲ Positive on copper tone
UnitedHealth (UNH)	Healthcare	Led Dow to record (+5.36%); rotation trade beneficiary; watch for consolidation	◆ Consolidation after surge

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

ECB held rates at April meeting (deposit: 2.00%, refi: 2.15%, MLF: 2.40%). Inflation projected at 3.1% in Q2 2026 driven by Middle East energy shock, declining to 2.8% in Q3 and 2.0% in 2027. June 11 meeting is live for a hike. Several board members have publicly flagged the possibility.

Fed held at 3.50–3.75% in April. ADP private payrolls for May: 122K (beat forecast), strongest reading since January 2025. Today's NFP (consensus: 125K) is the key swing factor. Fed next meets June 17. Market pricing implies rates on hold through H2 2026 barring NFP surprise.

US inflation pressures remain elevated from Middle East energy shock. Gulf infrastructure damage and tanker security challenges mean energy prices will not normalise quickly even under a ceasefire scenario. Central banks face a stagflation-adjacent dilemma: tighten to address inflation, or hold to support slowing growth.

UAE formally exited OPEC effective 1 May 2026, fragmenting OPEC+ cohesion. Global oil inventories expected to fall 8.5mb/d in Q2 2026. Despite ceasefire optimism, structural supply constraints remain.

CORPORATE

Broadcom Q2: Revenue \$22.2B (+48% YoY), AI chip revenue \$10.8B (+143%). EBITDA \$15.2B (69% margin). However, Q3 AI guidance of \$16B disappointed vs \$17.2B analyst forecast. After-hours: -12%. This is the first major AI chip earnings guide-down in this cycle and may trigger a valuation reset across the semiconductor sector.

Dow Jones rotation to healthcare and financials reached record 51,562. Signals a structural portfolio shift away from high-multiple tech names ahead of potential rate rises and earnings season scrutiny. JPMorgan, Goldman Sachs, and UnitedHealth saw the sharpest gains.

Lululemon cut full-year revenue and EPS guidance – stock fell 11% after-hours. Signals premium consumer discretionary spending under pressure as inflation erodes purchasing power at the higher end of the market.

POLITICAL / GEOPOLITICAL

US-Iran: Negotiators agreed a 60-day MOU to extend the ceasefire and initiate nuclear talks. Trump approval pending. The MOU covers Hormuz reopening terms, uranium enrichment limits, sanctions relief timetable, and verification protocols. Oil has repriced 20% lower from highs; a breakdown in talks would reverse this sharply.

EU—China: Tensions widening from EVs to wind components, solar panels, and mature-node semiconductors. Brussels expected to announce new investigations by end of June. Risk of retaliatory tariffs on European luxury and agri-food exports.

US fiscal trajectory: Mounting federal debt is narrowing Washington's fiscal space. Dollar's reserve currency status is beginning to face credibility questions among sovereign investors. Watch DXY and US Treasury auctions for early stress signals.

14. KEY THEMES – TOP 5 BY HORIZON

TODAY'S TOP 5

- 1. US Nonfarm Payrolls (13:30 BST)** – The single highest-impact data point today. 125K consensus vs 115K April. A beat (150K+) could push DXY higher and risk assets lower; a miss (sub-90K) would reignite Fed cut bets and trigger a USD sell-off. NFP also shapes ECB expectations for June 11.
- 2. Broadcom contagion in semiconductors** – Broadcom's Q3 AI guidance miss (\$16B vs \$17.2B estimate) may force a sector-wide rerating. NVIDIA, Marvell, AMD, and TSMC ADRs all at risk of sympathy selling. Watch whether this is a one-stock or sector-wide story.
- 3. Iran ceasefire MOU and oil volatility** – Trump's approval of the 60-day MOU will drive energy markets. Brent around \$97 with a wide range depending on deal confirmation or breakdown. Energy equity sector positioning is directionally dependent on news flow through the session.
- 4. Dow vs. Nasdaq divergence** – Rotation into healthcare, financials, and industrials at the expense of tech is accelerating. Monitor whether this broadens (healthy market) or signals growth anxiety (risk-off). S&P 500 +0.41% while Nasdaq -0.09% on the same day is an unusual signal.
- 5. ECB June 11 positioning** – With the ECB meeting in 6 days and board members openly signalling a potential hike, European bond markets are repricing. Front-end Bund yields and EUR corporate credit spreads will be sensitive to any ECB communication today.

THIS WEEK'S TOP 5

- 1. NFP report (today)** – Defines Fed/dollar narrative for the rest of the month and sets up Fed June 17 meeting expectations.
- 2. Broadcom earnings fallout and semiconductor rerating** – Markets will take multiple sessions to process whether this is company-specific or a signal of AI capex cycle peaking.
- 3. Iran ceasefire developments** – Any Trump statement confirming or rejecting the 60-day MOU will move oil 3–5% intraday. Shipping and energy equity positioning is pivotal.
- 4. ECB June 11 meeting prep** – Expect ECB officials to maintain silence (purdah) from this weekend. Markets will extrapolate from Friday's data flow. A rate hike would be the first in this cycle.

5. EU-China trade tensions escalation – Potential announcement of new EU trade investigations (wind, solar, semis). Retaliatory risk to European luxury, automotive, and agri-food exports to China.

THIS MONTH'S TOP 5

1. ECB June 11 rate decision – First potential hike in 2026. A 25bps move to 2.25% deposit rate would reshape the EUR curve and test corporate bond market resilience. Could re-open credit spread widening if financial stability concerns arise.

2. Fed FOMC June 17 – Post-NFP, market will refine the path. If June 5 NFP beats and core wages are firm, June 17 becomes a hawkish hold. If NFP misses, the September cut narrative re-emerges.

3. US-Iran peace negotiation timeline – The 60-day MOU clock starts on signing. Oil market will trade the probability of a permanent deal. Infrastructure rebuilding timeline and Hormuz shipping normalisation are multi-month catalysts for shipping and energy.

4. Q2 2026 earnings season (mid-June) – First major banks report mid-June. AI capex commitments, energy cost impact on margins, and consumer discretionary demand are the three investor focus areas. Broadcom's guide-down may set a cautious tone.

5. European Parliament summer recess (July) – Legislative window closing. Expect acceleration of fiscal initiatives (rearmament fund, green industrial policy) before summer. Bond issuance and EU-level debt conversations will intensify in June.

15. KEY TRENDS TO WATCH

1 DAY: WHAT COULD MOVE MARKETS TODAY

NFP May print at 13:30 BST is the day's defining event. Any print outside the 90–150K range will trigger a sharp re-pricing of USD, Treasuries, and risk assets. Watch Average Hourly Earnings alongside the headline number – hot wages keep the Fed on hold and reinforce the ECB hike case.

Broadcom opening print and intraday trajectory of NVIDIA and the Philadelphia Semiconductor Index (SOX) will determine whether Wednesday's Nasdaq underperformance was a one-day event or the start of a sustained tech de-rating.

Any statement from Trump or State Department on the Iran MOU will be an immediate oil catalyst. Brent above \$100 is possible on a breakdown; below \$90 if the MOU is formally signed with Hormuz reopening confirmed.

1 WEEK: KEY APPOINTMENTS AND THEMES

ECB Governing Council meeting on 11 June is the week's anchor event. Today's NFP feeds directly into ECB deliberations. A hawkish ECB will tighten EUR front-end rates, pressure European duration, and potentially compress credit spreads through a stronger EUR.

Congressional testimony and Washington political calendar around the Iran deal. Trump's deal-or-no-deal decision on the MOU drives energy, shipping, and Middle East-linked names for the entire week.

Semiconductor sector digestion of Broadcom results. Analyst upgrades/downgrades and PT revisions from major brokers will continue through the week, setting the tone for the AI-infrastructure trade into Q2 earnings.

1 MONTH: MAJOR DEADLINES AND UNDERLYING TRENDS

Rate cycle convergence: ECB hiking while Fed holds is a rare configuration. EUR/USD will be a central battleground. European banks benefit; European exporters face headwinds. Watch cross-asset correlation between EUR rate and equity sector rotations.

AI infrastructure capex cycle: Broadcom's guide-down raises the first credible question about whether hyperscaler AI spending is decelerating. Microsoft, Amazon, Google, and Meta capital expenditure guidance in Q2 earnings will either confirm or refute this concern.

Middle East energy shock aftermath: Even with ceasefire optimism, oil supply from Iran will take months to normalise. Gulf refinery and pipeline infrastructure damage is extensive. Energy prices will remain a structural inflation driver through Q3 2026.

Sources: Reuters, Bloomberg, CNBC, TheStreet, Yahoo Finance, Financial Times, Broadcom IR, BLS (Bureau of Labor Statistics), ECB (ecb.europa.eu), ING Think, Euronews, Al Jazeera Economy, GlobalCapital, Fortune, Trading Economics, IndexBox, Central Banking, Kiplinger, Metaintro, Motley Fool (aerospace/defense context).

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